During a visit to New York in September 2008, Prachanda outlined his vision for Nepal's future in terms that were fundamentally different from his revolutionary rhetoric of the late 1990s: 'We are making a big experiment—not only for Nepal, not only for South Asia, but for the people of the world. We communists are more flexible and dynamic. We try to develop our ideology according to new conditions. We understand the dynamic of change.'[35]

Dengism rather than Maoism became Prachanda's new ideology when he entered mainstream politics. He began to emphasize the importance of economic growth through capitalism instead of heaping praise on Chairman Mao's revolutionary vision and glorifying the Cultural Revolution of the 1960s. 'We are not fighting for socialism,' he said in an interview while he was in Kathmandu negotiating the 2006 peace accord with the government. 'We are just fighting against feudalism. We are fighting for a capitalist mode of production. We are trying to give more profit to the capitalists and industrialists.'[36]

China could not have been more pleased. Senior Chinese leader Jia Qinglin assured Prachanda that his 2008 visit would have a 'positive and far-reaching impact on relations between the two countries as well as relations between the two parties'.[37] Having condemned the Nepalese Maoists as 'fakes', China now wanted to develop party-to-party ties with the CPN-M. China's willingness to accept Nepal's Maoists, who once had had Peru's anti-Deng Shining Path as their role model, should not have come as a surprise. In the post-Mao era, China's foreign policy has been guided by geostrategic considerations rather than ideology, and a close relationship with Nepal is undoubtedly in China's interest. Therefore, it would also have been surprising if China had not had some contacts with the Nepalese Maoists even during the years of civil war. Pragmatism, not dogmatism, was Deng's guiding principle, and, in that regard, his successors have followed in his footsteps.

But given the fractured nature of Nepalese politics, it was hardly surprising that Prachanda's government did not last long. In May 2009, after less than a year in office, he resigned after his move to sack Rookmangud Katawai, chief of the Nepalese army, was opposed by President Yadav. Prachanda was succeeded by CPN-UML's Madhav